Starbucks Corporation (SBUX) Valuation Analysis

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Model history: FY2020-FY2025 | Forecasts: FY2026E-FY2027E

Overview

I analyzed Starbucks by forecasting store growth, revenue and profitability in North America and international markets. I estimated its value using a discounted cash flow (DCF) model and a forward EV/EBITD multiple, supported by cash-flow, balance-sheet and return-on-invested-capital analysis.

Model financial summary

USD millions, except counts / ratios	2025	2026E	2027E
Total stores	40,990	42,390	43,590
Revenue	37,184	38,053	39,484
Operating income	3,444	3,908	4,421
Operating margin	9.3%	10.3%	11.2%
EPS ($)	2.12	2.52	2.87
Operating cash flow	4,748	5,546	6,757
ROIC	13.4%	14.8%	16.2%

Valuation results

Approach	Value per share	Vs. reference
Discounted cash flow	$54.34	-32.1%
15.0x 2027E EBITD, discounted	$64.90	-18.9%
Reference share price	$80.00	-

Main assumptions and conclusion

The forecast assumes 2.0% same-store sales growth in both regions for 2026 and 2027. Store contribution rises to 24.0% and 25.0%, with a 24.0% tax rate. The DCF uses a 7.52% discount rate and 4.0% terminal growth. Both valuation methods produce values below the $80 reference price, despite a projected recovery in operating income.

E indicates an estimate. Prices and forecasts reflect the analysis period and are not live market quotations.

Income statement metrics use the analytical build. See the methodology appendix for reporting-basis reconciliation.

Store Assumptions & Regional Revenue

USD millions, except per-share amounts, counts, multiples and percentages. Revenue per store is shown in USD thousands.

Metric	2020	2021	2022	2023	2024	2025	2026E	2027E
North America								
Beginning stores	16,653	16,940	16,826	17,295	17,810	18,424	18,311	18,511
Stores added	287	-114	469	515	614	-113	200	200
Ending stores	16,940	16,826	17,295	17,810	18,424	18,311	18,511	18,711
Same store sales	-12.00%	22.00%	12.00%	9.00%	-2.00%	-1.75%	2.00%	2.00%
Revenue/store	962.0	1,211	1,370	1,514	1,494	1,475	1,504	1,534
International								
Beginning stores	14,603	15,720	17,007	18,416	20,228	21,775	22,679	23,879
Stores added	1,117	1,287	1,409	1,812	1,547	904	1,200	1,000
Ending stores	15,720	17,007	18,416	20,228	21,775	22,679	23,879	24,879
Same store sales	-19.00%	16.00%	-9.00%	5.00%	-4.00%	0.25%	2.00%	2.00%
Revenue/store	332.7	423.0	391.8	387.5	349.5	352.1	359.2	366.3
Consolidated number of stores (owned and licensed)	32,660	33,833	35,711	38,038	40,199	40,990	42,390	43,590
Consolidated same store sales	-14.00%	20.00%	8.00%	8.00%	-2.00%	-1.00%		
Revenues								
North America	16,296	20,448	23,371	26,570	27,009	27,372	27,692	28,553
International	5,231	6,922	6,940	7,488	7,339	7,820	8,361	8,931
Other	1,991	1,691	1,939	1,919	1,828	1,992	2,000	2,000
Total	23,518	29,060	32,250	35,976	36,176	37,184	38,053	39,484

FY2025 regional comparable sales are simple quarterly averages; consolidated figures use annual reported growth.

Income Statement Build

USD millions, except per-share amounts, counts, multiples and percentages. Revenue per store is shown in USD thousands.

Metric	2020	2021	2022	2023	2024	2025	2026E	2027E
Expenses								
Product and distribution costs	7,695	8,738	10,317	11,409	11,181	11,658		
Store operating expenses	10,764	11,931	13,562	14,720	15,286	17,204		
Total	18,459	20,669	23,879	26,129	26,467	28,862		
Store contribution margin	5,059	8,392	8,371	9,847	9,709	8,323	9,133	9,871
Store contribution	21.51%	28.88%	25.96%	27.37%	26.84%	22.38%	24.00%	25.00%
Other operating expenses	430.3	359.5	461.5	539.4	565.6	584.6	775	775
Depreciation and amort	1,431	1,442	1,448	1,363	1,513	1,677	1,700	1,775
General and admin	1,958	2,103	2,078	2,463	2,523	2,617	2,750	2,900
Total	3,820	3,904	3,987	4,365	4,602	4,879	5,225	5,450
Operating income	1,239	4,488	4,383	5,482	5,107	3,444	3,908	4,421
Operating margin	5.27%	15.44%	13.59%	15.24%	14.12%	9.26%	10.27%	11.20%
Interest expense, net	397.3	379.7	385.9	468.9	439	429.3	435	435
Income from equity investees	326.1	385.3	234.1	298.4	301.2	247.9	300	300
Income before taxes	1,168	4,493	4,232	5,311	4,970	3,263	3,773	4,286
Taxes	239.7	970.5	948.5	1,257	1,207	846	905.5	1,029
Effective tax rate	20.53%	21.60%	22.42%	23.67%	24.29%	25.93%	24.00%	24.00%
Model net income	928.1	3,523	3,283	4,054	3,762	2,417	2,867	3,257
EPS	0.79	2.97	2.83	3.52	3.31	2.12	2.52	2.87
Shares outstanding	1,181.8	1,185.5	1,158.5	1,151.3	1,137.3	1,139.8	1,139.0	1,135.0

Analytical income statement build; figures can differ from company-reported earnings. See methodology appendix.

Growth & Cash Flow

USD millions, except per-share amounts, counts, multiples and percentages. Revenue per store is shown in USD thousands.

Growth

Metric	2020	2021	2022	2023	2024	2025	2026E	2027E
Same store sales	-14.00%	20.00%	8.00%	8.00%	-2.00%	-1.00%	2.00%	2.00%
Number of stores		3.59%	5.55%	6.52%	7.65%	4.15%	5.29%	4.19%
Revenues								
US		25.48%	14.29%	13.69%	1.65%	1.34%	1.17%	3.11%
Int'l		32.33%	0.27%	7.89%	-1.98%	6.55%	6.91%	6.82%
Total		23.57%	10.98%	11.55%	0.56%	2.79%	2.34%	3.76%
Gross profit		65.88%	-0.25%	17.63%	-1.40%	-14.27%	9.73%	8.08%
Operating income		262.20%	-2.32%	25.06%	-6.83%	-32.56%	13.45%	13.13%
EPS		278.37%	-4.63%	24.26%	-6.06%	-35.90%	18.71%	14.00%

Cash flow

Metric	2020	2021	2022	2023	2024	2025	2026E	2027E
Net income incl. NCI	924.7	4,200	3,283	4,125	3,762	1,857	2,867	3,257
Depreciation and amort	1,503	1,524	1,529	1,450	1,592	1,772	1,900	2,000
Stock based compensation	248.6	319.1	271.5	302.7	308.3	318.3	300	300
Non-cash lease costs	1,198	1,249	1,498	1,366	1,315	1,514	1,400	1,400
Deferred taxes	-25.8	-146.2	-37.8	-59.4	-13.8	-90.6	0	0
Other	425.9	-655.6	-13.9	-42.1	180.3	872.2	0	0
Working capital, net	-2,676	-501.2	-2,133	-1,133	-1,049	-1,494	-921.2	-200
Net cash flow from operations	1,598	5,989	4,397	6,009	6,096	4,748	5,546	6,757
Capital spending	1,484	1,470	1,841	2,334	2,778	2,306	2,400	2,400
Excess cash flow from operations	114.2	4,519	2,556	3,675	3,318	2,442	3,146	4,357
Acquisitions, net	0	1,175	59.3	110	0	-177.1	0	0
Dividends, net	-1,924	-2,119	-2,263	-2,432	-2,585	-2,771	-2,771	-2,771
Debt, net	5,166	-1,681	673.1	358.6	136.5	493.1	0	0
Change in marketable securities	-183.5	56.7	-238.0	8.9	151	59.3	0	0
Share repurchases, net	-1,492	149.2	-4,039	-906.3	-1,259	-10.4	-250	-500
Other	-17.4	5	-385.8	-81.4	-26.8	-101.9	0	0
Net change in cash	1,664	2,105	-3,637	733.1	-265.3	-66.4	124.7	1,086

Historical cash flow starts with reported net earnings; forecast cash flow starts with model net income.

Balance Sheet

USD millions, except per-share amounts, counts, multiples and percentages. Revenue per store is shown in USD thousands.

Metric	2020	2021	2022	2023	2024	2025	2026E	2027E
Assets								
Cash and equivalents	4,632	6,618	3,183	3,953	3,543	3,467	3,592	4,678
Accounts receivable	883.4	940	1,176	1,184	1,214	1,278	1,500	1,700
Inventories	1,551	1,604	2,177	1,806	1,777	2,186	2,200	2,300
Other	739.5	594.6	483.7	359.9	313.1	452.2	500	500
Total current assets	7,806	9,756	7,019	7,303	6,847	7,382	7,792	9,178
Property, plant and equip	6,241	6,370	6,560	7,387	8,666	8,494	8,800	9,300
Operating lease assets	8,134	8,236	8,016	8,413	9,286	9,316	9,500	9,500
Long term investments	206.1	281.7	279.1	247.4	276	246.7	247	247
Other assets	6,986	6,749	6,104	6,095	6,264	6,581	6,600	6,600
Total assets	29,374	31,393	27,978	29,446	31,339	32,020	32,939	34,825
Liabilities and Shareholders' Equity								
Accounts payable	997.9	1,212	1,441	1,544	1,596	1,853	1,725	1,775
Accrued liabilities	4,660	5,941	5,786	5,949	6,226	6,859	6,350	6,400
Short term debt	1,689	998.9	1,924	1,852	1,249	1,499	1,499	1,499
Total current liabilities	7,347	8,151	9,152	9,345	9,070	10,210	9,574	9,674
Long term debt	14,660	13,617	13,120	13,548	14,320	14,576	14,576	14,576
Other liabilities	15,168	14,939	14,405	14,540	15,391	15,323		
Shareholders' Equity	-7,799	-5,314	-8,699	-7,988	-7,442	-8,089		
Total	29,374	31,393	27,978	29,446	31,339	32,020		
Net working capital						-4,796	-3,875	-3,675
Change: net working capital							-921.2	-200

Return on Invested Capital

USD millions, except per-share amounts, counts, multiples and percentages. Revenue per store is shown in USD thousands.

Metric	2020	2021	2022	2023	2024	2025	2026E	2027E
Operating income	1,239	4,488	4,383	5,482	5,107	3,444	3,908	4,421
Taxes	254.3	969.3	982.5	1,297	1,241	893.0	937.9	1,061
NOPAT	984.7	3,518	3,401	4,184	3,867	2,551	2,970	3,360
Income taxes	239.7	970.5	948.5	1,257	1,207	846	905.5	1,029
Pre-tax income	1,168	4,493	4,232	5,311	4,970	3,263	3,773	4,286
Effective tax rate	20.53%	21.60%	22.42%	23.67%	24.29%	25.93%	24.00%	24.00%
Invested capital								
Net working capital	-2,484	-4,014	-3,392	-4,143	-4,517	-4,796	-3,875	-3,675
PP&E	6,241	6,370	6,560	7,387	8,666	8,494	8,800	9,300
Other assets	15,121	14,985	14,120	14,508	15,550	15,897	16,100	16,100
Total	18,878	17,340	17,289	17,752	19,699	19,594	21,025	21,725
Return on invested capital (ROIC)	5.22%	19.43%	19.64%	23.88%	20.65%	13.42%	14.77%	16.17%

Cost of Capital

USD millions, except per-share amounts, counts, multiples and percentages. Revenue per store is shown in USD thousands.

Assumption / calculation	Value
Beta	1
Risk free rate	4.00%
Return on market	8.00%
CAPM	8.00%
Debt cost of capital	4.07%
Equity cost of capital	8.00%
Net debt	12,608
Equity capitalization	91,184
Total capitalization	103,792
Net debt weighting	12.15%
Equity weighting	87.85%
Total	100.00%
Cost of debt	0.49%
Cost of equity	7.03%
Total	7.52%

Debt cost inputs	Value
Tax rate used in debt cost	25.93%
Pre-tax debt rate	5.50%

Discounted Cash Flow Valuation

USD millions, except per-share amounts, counts, multiples and percentages. Revenue per store is shown in USD thousands.

Metric	2021	2022	2023	2024	2025	2026E	2027E
Operating income	4,488	4,383	5,482	5,107	3,444	3,908	4,421
Tax rate	21.60%	22.42%	23.67%	24.29%	25.93%	24.00%	24.00%
Taxes	969.3	982.5	1,297	1,241	893.0	937.9	1,061
NOPAT	3,518	3,401	4,184	3,867	2,551	2,970	3,360
Depreciation and amort	1,524	1,529	1,450	1,592	1,772	1,900	2,000
Capital spending	1,470	1,841	2,334	2,778	2,306	2,400	2,400
Working capital cash flow	-501.2	-2,133	-1,133	-1,049	-1,494	-921.2	-200
Free cash flow	3,071	956.0	2,168	1,633	523.1	1,549	2,760

Discounted cash flows

Metric	2026E	2027E	Terminal value
Free cash flow	1,549	2,760	81,472
Cost of capital	7.52%	7.52%	7.52%
NPV	1,440	2,387	70,470

Equity value calculation

Metric	Value
Assumed growth rate	4.00%
Assumed cost of capital	7.52%
NPV	74,298
Net debt	12,361
Equity Capitalization	61,937
Shares outstanding	1,139.8
Estimated stock price	54.34
Reference share price	80.00

Valuation Multiples & Target Price

USD millions, except per-share amounts, counts, multiples and percentages. Revenue per store is shown in USD thousands.

Metric	2020	2021	2022	2023	2024	2025	2026E	2027E
Model reference price	107.00	117.00	99.00	96.00	92.00	80.00	80.00	80.00
Net debt	11,510	7,716	11,582	11,199	11,749	12,361	12,236	11,150
Market capitalization	126,453	138,704	114,692	110,525	104,632	91,184	91,120	90,800
Enterprise value	137,963	146,420	126,273	121,724	116,381	103,545	103,356	101,950
Invested capital	18,878	17,340	17,289	17,752	19,699	19,594	21,025	21,725
EBITD	2,742	6,012	5,913	6,932	6,700	5,216	5,808	6,421
EBITD margin	11.66%	20.69%	18.33%	19.27%	18.52%	14.03%	15.26%	16.26%
EBITD growth		119.23%	-1.65%	17.24%	-3.35%	-22.15%	11.34%	10.56%
ROIC	5.22%	19.43%	19.64%	23.88%	20.65%	13.42%	14.77%	16.17%
TMV/EBITD (trailing)	50.31x	24.36x	21.36x	17.56x	17.37x	19.85x	17.80x	15.88x
TMV/invested capital	7.31x	8.44x	7.30x	6.86x	5.91x	5.28x	4.92x	4.69x
Unlevered free cash flow yield		2.10%	0.76%	1.78%	1.40%	0.51%	1.50%	2.71%
EBITD conversion		75.17%	43.23%	53.02%	49.53%	46.82%		

Target price

Metric	Value
2027 EBITD	6,421
EBITD multiple	15.00x
Total market value	96,315
Net debt	11,150
Equity capitalization	85,165
Discounted back	73,664
Shares outstanding	1,135.0
Estimated stock price	64.90
Reference share price	80.00

2022 Quarterly Store & Revenue Analysis

USD millions, except per-share amounts, counts, multiples and percentages. Revenue per store is shown in USD thousands.

Metric	Q1 2022	Q2 2022	Q3 2022	Q4 2022
North America				
Beginning stores	16,826	16,888	16,926	17,050
Stores added	62	38	124	245
Ending stores	16,888	16,926	17,050	17,295
Same store sales	18.00%	12.00%	9.00%	11.00%
Revenue/store	1,271	1,288	1,427	1,429
International				
Beginning stores	17,007	17,429	17,704	17,898
Stores added	422	275	194	518
Ending stores	17,429	17,704	17,898	18,416
Same store sales	-3.00%	-8.00%	-18.00%	-5.00%
Revenue/store	340.1	340.4	358.6	394.8
Consolidated number of stores (owned and licensed)	34,317	34,630	34,948	35,711
Consolidated same store sales	13.00%	7.00%	3.00%	7.00%
Revenues				
North America	5,732	5,446	6,058	6,134
International	1,876	1,702	1,585	1,777
Other	442	487.6	507.1	503
Total	8,050	7,636	8,150	8,414

2022 Quarterly Income Statement & Growth

USD millions, except per-share amounts, counts, multiples and percentages. Revenue per store is shown in USD thousands.

Metric	Q1 2022	Q2 2022	Q3 2022	Q4 2022
Expenses				
Product and distribution costs	2,527	2,466	2,614	2,711
Store operating expenses	3,400	3,315	3,302	3,545
Total	5,927	5,780	5,916	6,256
Store contribution margin	2,123	1,855	2,234	2,159
Store contribution	26.37%	24.30%	27.41%	25.65%
Other operating expenses	101.7	101.7	135.1	123.1
Depreciation and amort	366	367.7	356.8	357.4
General and admin	518.3	486.1	500.7	573.1
Total	986	955.5	992.6	1,054
Operating income	1,137	899.7	1,241	1,105
Operating margin	14.13%	11.78%	15.23%	13.13%
Interest expense, net	115.4	72.8	103.3	94.3
Income from equity investees	40.3	49.1	54.1	90.6
Income before taxes	1,062	876.0	1,192	1,101
Taxes	246.3	201.1	278.5	222.7
Effective tax rate	23.19%	22.96%	23.36%	20.22%
Model net income	815.8	674.9	913.8	878.7
EPS	0.69	0.58	0.79	0.76
Shares outstanding	1,176.6	1,153.9	1,151.0	1,152.5

Growth

Metric	Q1 2022	Q2 2022	Q3 2022	Q4 2022
Revenues				

2023 Quarterly Store & Revenue Analysis

USD millions, except per-share amounts, counts, multiples and percentages. Revenue per store is shown in USD thousands.

Metric	Q1 2023	Q2 2023	Q3 2023	Q4 2023
North America				
Beginning stores	17,295	17,381	17,482	17,592
Stores added	86	101	110	218
Ending stores	17,381	17,482	17,592	17,810
Same store sales	10.00%	12.00%	7.00%	8.00%
Revenue/store	1,508	1,464	1,537	1,559
International				
Beginning stores	18,416	18,789	19,152	19,630
Stores added	373	363	478	598
Ending stores	18,789	19,152	19,630	20,228
Same store sales	-13.00%	7.00%	24.00%	8.00%
Revenue/store	361.3	391.1	411.2	402.6
Consolidated number of stores (owned and licensed)	36,170	36,634	37,222	38,038
Consolidated same store sales	5.00%	11.00%	10.00%	8.00%
Revenues				
North America	6,551	6,381	6,738	6,900
International	1,680	1,855	1,973	1,980
Other	483	484.8	457.3	494
Total	8,714	8,720	9,168	9,374

2023 Quarterly Income Statement & Growth

USD millions, except per-share amounts, counts, multiples and percentages. Revenue per store is shown in USD thousands.

Metric	Q1 2023	Q2 2023	Q3 2023	Q4 2023
Expenses				
Product and distribution costs	2,810	2,802	2,864	2,933
Store operating expenses	3,665	3,626	3,698	3,721
Total	6,476	6,428	6,562	6,654
Store contribution margin	2,239	2,292	2,606	2,719
Store contribution	25.69%	26.29%	28.43%	29.01%
Other operating expenses	129.3	126.2	138.7	145.2
Depreciation and amort	327.1	341.9	342.2	351.4
General and admin	586.7	629.2	611.4	635.8
Total	1,043	1,097	1,092	1,132
Operating income	1,196	1,195	1,514	1,587
Operating margin	13.72%	13.71%	16.51%	16.93%
Interest expense, net	118.1	117.9	119.6	113.1
Income from equity investees	57.8	51.4	69.7	119.4
Income before taxes	1,135	1,129	1,464	1,593
Taxes	279.8	281.0	322.4	373.8
Effective tax rate	24.64%	24.90%	22.02%	23.46%
Model net income	855.7	847.7	1,142	1,220
EPS	0.74	0.74	0.99	1.06
Shares outstanding	1,152.9	1,152.7	1,150.5	1,149.4

Growth

Metric	Q1 2023	Q2 2023	Q3 2023	Q4 2023
Same store sales	5.00%	11.00%	10.00%	8.00%
Number of stores	5.40%	5.79%	6.51%	6.52%
Revenues				
US	14.29%	17.17%	11.21%	12.48%
Int'l	-10.44%	8.95%	24.50%	11.41%
Total	8.25%	14.20%	12.49%	11.40%
Gross profit	5.45%	23.57%	16.66%	25.97%
Operating income	5.15%	32.84%	21.94%	43.61%
EPS	7.05%	25.73%	24.98%	39.16%

2024 Quarterly Store & Revenue Analysis

USD millions, except per-share amounts, counts, multiples and percentages. Revenue per store is shown in USD thousands.

Metric	Q1 2024	Q2 2024	Q3 2024	Q4 2024
North America				
Beginning stores	17,810	17,931	18,065	18,198
Stores added	121	134	133	226
Ending stores	17,931	18,065	18,198	18,424
Same store sales	5.00%	-3.00%	-2.00%	-6.00%
Revenue/store	1,594	1,418	1,504	1,462
International				
Beginning stores	20,228	20,656	20,886	21,279
Stores added	428	230	393	496
Ending stores	20,656	20,886	21,279	21,775
Same store sales	7.00%	-3.00%	-7.00%	-9.00%
Revenue/store	361.3	338.4	351.9	355.3
Consolidated number of stores (owned and licensed)	38,587	38,951	39,477	40,199
Consolidated same store sales	5.00%	-4.00%	-3.00%	-7.00%
Revenues				
North America	7,121	6,380	6,817	6,692
International	1,846	1,757	1,842	1,893
Other	458	426	455	489
Total	9,425	8,563	9,114	9,074

2024 Quarterly Income Statement & Growth

USD millions, except per-share amounts, counts, multiples and percentages. Revenue per store is shown in USD thousands.

Metric	Q1 2024	Q2 2024	Q3 2024	Q4 2024
Expenses				
Product and distribution costs	2,981	2,649	2,741	2,810
Store operating expenses	3,852	3,724	3,829	3,882
Total	6,832	6,373	6,570	6,692
Store contribution margin	2,593	2,190	2,544	2,382
Store contribution	27.51%	25.58%	27.91%	26.25%
Other operating expenses	150	132.8	143.9	138.7
Depreciation and amort	365.3	371.9	380.4	395
General and admin	648	654.6	576	644.8
Total	1,163	1,159	1,100	1,178
Operating income	1,430	1,031	1,443	1,204
Operating margin	15.17%	12.04%	15.84%	13.26%
Interest expense, net	106.3	106.5	113.2	113.2
Income from equity investees	55.9	68	73.9	103.4
Income before taxes	1,379	992.7	1,404	1,194
Taxes	354.7	219.9	348.6	284.1
Effective tax rate	25.72%	22.15%	24.83%	23.80%
Model net income	1,024	772.8	1,056	909.7
EPS	0.90	0.68	0.93	0.80
Shares outstanding	1,140.6	1,135.4	1,135.8	1,137.3

Growth

Metric	Q1 2024	Q2 2024	Q3 2024	Q4 2024
Same store sales	5.00%	-4.00%	-3.00%	-7.00%
Number of stores	6.68%	6.32%	6.06%	5.68%
Revenues				
US	8.69%	-0.01%	1.17%	-3.02%
Int'l	9.89%	-5.26%	-6.63%	-4.37%
Total	8.15%	-1.80%	-0.59%	-3.20%
Gross profit	15.81%	-4.45%	-2.39%	-12.40%
Operating income	19.55%	-13.72%	-4.65%	-24.16%
EPS	21.02%	-7.44%	-6.34%	-24.61%

2025 Quarterly Store & Revenue Analysis

USD millions, except per-share amounts, counts, multiples and percentages. Revenue per store is shown in USD thousands.

Metric	Q1 2025	Q2 2025	Q3 2025	Q4 2025
North America				
Beginning stores	18,424	18,537	18,627	18,734
Stores added	113	90	107	-423
Ending stores	18,537	18,627	18,734	18,311
Same store sales	-4.00%	-1.00%	-2.00%	0.00%
Revenue/store	1,531	1,393	1,487	1,488
International				
Beginning stores	21,775	22,203	22,162	22,363
Stores added	428	-41	201	316
Ending stores	22,203	22,162	22,363	22,679
Same store sales	-4.00%	2.00%	0.00%	3.00%
Revenue/store	340.4	336.7	361.6	369.8
Consolidated number of stores (owned and licensed)	40,740	40,789	41,097	40,990
Consolidated same store sales	-4.00%	-1.00%	-2.00%	1.00%
Revenues				
North America	7,072	6,472	6,927	6,902
International	1,871	1,867	2,011	2,071
Other	455	423	518	597
Total	9,398	8,762	9,456	9,569

2025 Quarterly Income Statement & Growth

USD millions, except per-share amounts, counts, multiples and percentages. Revenue per store is shown in USD thousands.

Metric	Q1 2025	Q2 2025	Q3 2025	Q4 2025
Expenses				
Product and distribution costs	2,894	2,738	2,956	3,071
Store operating expenses	4,203	4,176	4,345	4,480
Total	7,097	6,914	7,300	7,552
Store contribution margin	2,301	1,848	2,155	2,018
Store contribution	24.49%	21.10%	22.79%	21.09%
Other operating expenses	152.5	138.7	151.6	141.8
Depreciation and amort	407.6	418.9	427.6	422.6
General and admin	665.8	632.3	677.2	642
Total	1,226	1,190	1,256	1,206
Operating income	1,076	658.5	899.0	811.4
Operating margin	11.44%	7.52%	9.51%	8.48%
Interest expense, net	99.4	98.9	116.7	114.3
Income from equity investees	46.5	59.1	57.1	85.2
Income before taxes	1,023	618.7	839.4	782.3
Taxes	241.4	150	267	187.8
Effective tax rate	23.60%	24.24%	31.81%	24.00%
Model net income	781.3	468.7	572.4	594.5
EPS	0.69	0.41	0.50	0.52
Shares outstanding	1,138.4	1,140.0	1,139.8	1,138.0

Growth

Metric	Q1 2025	Q2 2025	Q3 2025	Q4 2025
Same store sales	-4.00%	-1.00%	-2.00%	1.00%
Number of stores	5.58%	4.72%	4.10%	1.97%
Revenues				
US	-0.69%	1.44%	1.62%	3.13%
Int'l	1.35%	6.24%	9.15%	9.39%
Total	-0.28%	2.32%	3.75%	5.46%
Gross profit	-11.24%	-15.62%	-15.27%	-15.29%
Operating income	-24.76%	-36.14%	-37.72%	-32.59%
EPS	-23.59%	-39.60%	-45.97%	-34.68%

Starbucks

Methodology and Sources

Model scope

The report forecasts FY2026-FY2027 from an FY2025 base. Revenue is built from regional store counts and sales per store; store contribution, overhead, taxes and reinvestment determine cash flow. E identifies an estimate. Share prices are model comparison inputs, rather than dated market quotations.

Reporting basis

FY2025 earnings basis (USD millions)	Amount
Analytical income statement build: net income	2,417.0
Company-reported net earnings, including NCI	1,856.7
Difference: model build less reported earnings	560.3

The income statement is an analytical build from the expense lines shown, rather than a full GAAP statement. Its FY2025 net income exceeds reported earnings by $560.3 million. The difference is a modeling-basis difference; no item-by-item adjustment bridge is assumed. Historical cash flow uses reported earnings, including noncontrolling interests (NCI), while forecast cash flow uses model earnings.

Valuation conventions

DCF uses a 7.52% WACC and 4.0% terminal growth. Working capital cash flow is signed: negative values reduce free cash flow. The multiple method applies 15.0x to 2027E EBITD, defined as operating income plus depreciation and amortization. A higher discount rate or weaker margins reduces value.

Operating metrics and source

FY2025 regional comparable sales use simple quarterly averages: North America -1.75% and International +0.25%. Consolidated annual growth is -2% in FY2024 and -1% in FY2025. These measures have different weighting bases. Annual earnings were cross-checked against Starbucks FY2025 Form 10-K.

Source: Starbucks FY2025 Form 10-K, consolidated financial statements and operating discussion